Chapter Sixty

Destination 2035

Real Economy Today

Today, India, seventy-five years young as an independent country, is a diversified $3 trillion real economy, with roughly one-sixth of goods and services each produced in agriculture, manufacturing and government. The services sector exceeds half of the real economy. There are two relatively minor sectors of mining and quarrying, and utilities. The construction sector has grown into a significant size of the economy.

India's growth rate has been quite low in the second decade of the twenty-first century, with a slowing economy turning out poor growth in the 2010–2013 and 2017–2019 periods with unprecedented contraction of over 7 per cent in 2020–21, though followed by recovery of 9 per cent in 2021–22.

On the consumption side, roughly 70 per cent is accounted for by private and government consumption and 30 per cent of GDP income gets invested in capital formation. Consumption had been a major growth support from 2014–2018 but started flagging from 2018. Investments/capital formation have considerably weakened with domestic savings rates and investments falling from the peak of 35–36 per cent in the first decade to the bottom of 28–30 per cent in the second decade (ignoring the exceptionally bad year of 2020).

The government's taxation revenues have stagnated (there are some signs of the tide turning in 2021–22 but that may not last long as fundamental revenue dynamism is still lacking). GST, introduced in 2017, was expected to give a boost to indirect tax revenues but has performed